

July 8, 2024



CONFIDENTIAL

ENCAP INVESTMENTS L.P.

- Within the last 30 days, EnCap entered into definitive agreements totaling \$9.5 Billion in gross exit value
- Announced exits will result in over \$1.2 Billion of value uplift for Funds X, XI, and XII from March 31, 2024 valuations
- Transactions are expected to produce ~\$5.7 Billion of ultimate value to our Funds
- Anticipated Fund XII final close on or around September 30

Value Uplift from Announced Sales (\$MM)				
Company	Funds	3/31 Marked Equity Value	Transaction Equity Value ⁽¹⁾	Value Uplift
Ameredev II	X	\$845	\$1,303	\$458
XCL Resources	XI	\$1,337	\$1,651	\$315
Grayson Mill II & III ⁽²⁾	X, XI, XII	\$2,313	\$2,785	\$472
Total		\$4,494	\$5,739	\$1,245

(1) Assumes all holdback amounts are received and DVN shares valued at announced price of \$47.03. Subject to customary closing conditions.

(2) Excludes Co-Investment (\$155 MM invested / ~\$330 MM of estimated ultimate proceeds)

Dear EnCap Limited Partner:

We are excited to announce several sizable exits that will result in over \$1.2 billion of value uplift for Funds X, XI, and XII above the 3/31/24 valuations. Our intent at this time is to hold the final close of Fund XII on or around September 30, 2024.

Portfolio Company Exits

Within the last 30 days, we entered into definitive agreements totaling \$9.5 billion in gross exit value. These transactions represent \$5.7 billion of realized value to our Funds comprised of initial cash proceeds totaling \$4.4 billion plus an additional \$1.1 billion of liquid stock in Devon Energy (NYSE: DVN), and ~\$250 million in future proceeds from indemnity holdbacks.

- On July 8, Grayson Mill Energy II (Funds X, XI) and Grayson Mill Energy III (Funds X, XI, XII) announced the joint sale of their properties in the Bakken Shale to Devon Energy (NYSE: DVN) for \$5.0 billion (65% Cash / 35% Stock), representing the largest sale in EnCap's 36-year history. Prior to the sale, Grayson Mill II had already returned \$1.1 billion via distributions from cash flow. Transaction proceeds are expected to consist of \$1.7 billion cash and 23 million shares of DVN for the Funds (\$472 million uplift; ~\$120 million for Fund X, ~\$250 million for Fund XI, ~\$100 million for Fund XII). Closing is anticipated in late September and will result in initial cash distributions of ~\$440 million (Fund X), ~\$885 million (Fund XI), ~\$265 million (Fund XII).

- On June 27, XCL Resources (Fund XI) announced the sale of its properties in the Uinta Basin to SM Energy (NYSE: SM) and Northern Oil and Gas (NYSE: NOG), for total consideration of \$2.55 billion in cash (\$315 million uplift). Closing is anticipated in October and will result in an initial \$1.6 billion cash distribution.
- On June 12, Ameredev II (Fund X) announced the sale of its properties in the Permian Basin to Matador Resources (NYSE: MTDR) for \$1.9 billion in cash (\$458 million uplift). Closing is anticipated in September and will result in an initial \$1.2 billion cash distribution.

These exits, in combination with ongoing cash flow distributions, will make 2024 another robust year of distribution activity and bring total distributions since 2022 to over \$18 billion.

Our industry partners continue to demonstrate the ability to build large scale platforms with strong cash flow and quality inventory that are highly attractive to large public companies.

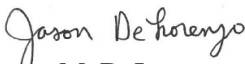
Fund XII Update

Currently, we have \$3.5 billion of approved investor commitments and are on track to achieve our \$4.0 billion target. As of June 30, Fund XII has committed \$2.1 billion to eight portfolio companies and invested ~\$850 million with a line of sight to an additional ~\$300 to \$400 million of equity fundings in Q3. We remain encouraged by the unique environment and opportunity set to invest capital into a highly attractive market. We believe our longstanding investment approach of partnering with top-tier operationally and technically oriented management teams remains the best approach to create value for our investors.

The GME III exit will result in a 2.2x ROI and a 75% IRR on Fund XII's \$207 million investment. Additionally, we are currently exploring strategic alternatives with another Fund XII portfolio company that we think will transact in the next 3 – 9 months. We intend to hold a final close for Fund XII on or around September 30 with the objective to provide investors actively underwriting Fund XII sufficient time to finalize their commitments and legal documentation. We are grateful for the significant support we have received and feel fortunate to raise a sizeable amount of capital in this challenging fundraising environment.

As always, please don't hesitate to reach out to us at any time to discuss any of the materials discussed in this letter, the current market environment, or anything else EnCap-related. We greatly appreciate your continued support!

Best regards,


Jason M. DeLorenzo
Managing Partner


Douglas E. Swanson, Jr.
Managing Partner

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The ROI and IRR data for Fund XII's GME III investment are presented solely as gross returns, because net return data are not meaningful in light of the short life of Fund XII.